UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF FLORIDA
MIAMI DIVISION

In re:

MASSA FALIDA DO BANCO CRUZIERO DO SUL, S.A.,

Debtor in Foreign Proceeding.

_____/

LASPRO CONSULTORES LTDA., A Brazilian Sociedade Limitada,

Plaintiff,

v.

ALINIA CORPORATION, a British Virgin Islands Company Limited by Shares and 110 CPS, Inc., A British Virgin Islands company Limited by Shares

Defendants.

_____/

Case No. 14-22974-BKC-LMI

Chapter 15

Adv. Case No. 16-01315-LMI

DEFENDANTS' MEMORANDUM ON CHOICE OF LAW FOR PLAINTIFF'S AIDING AND ABETTING CLAIMS AND IN SUPPORT OF MOTION TO DISMISS SAME

Defendants, Alinia Corporation ("Alinia") and 110 CPS, Inc. ("CPS") (collectively, the "Defendants"), by and through their undersigned counsel, and pursuant to that Order issued by the Court on February 14, 2017 (ECF No. 43), hereby submit their Memorandum on Choice of Law for the Plaintiff's Aiding and Abetting Claims and in Support of their Motion to Dismiss such claims as asserted in Plaintiff's Amended Complaint (the "Complaint"), and as grounds therefor state:

I. INTRODUCTION

Alinia and CPS are British Virgin Islands corporations, which own property in New York. The Complaint alleges Felippe Indio da Costa ("Felippe") and Octavio Indio da Costa ("Octavio") embezzled funds from the Debtor, which Plaintiff asserts were used to purchase the apartments and art in New York that are the subjects of the claims alleged in the Complaint (collectively the "New York Property").[1] The aiding and abetting claims allege that the Defendants assisted their principals in

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("Octavio") embedded funds from the Debtor, which Plaintiff asserts were used to purchase the apartments and art in New York that are the subjects of the claims alleged in the Complaint (collectively the "New York Property").[1] The aiding and abetting claims allege that the Defendants assisted their principals in committing fraud, conversion and breach of fiduciary duty by using the allegedly embezzled funds to purchase the New York Property and concealing the ownership of the New York Property from the Debtor and later the Trustee.

This activity necessarily had to have taken place in New York where the New York Property sought by the Trustee is located. Under the applicable choice of law rules, this Court should apply the law of the jurisdiction with the most significant relation to the matters that are the subject of the litigation. The only jurisdictions which qualify are New York and Brazil. While New York recognizes causes of action for aiding and abetting conversion, fraud and breach of fiduciary duty, its courts have also held that it is not possible for a corporation to aid and abet its principals in committing torts. Brazil, the jurisdiction where the foreign proceeding is pending and from where the funds were allegedly embezzled, has a significant interest in the action. However, the concept of the common law, judicially created tort of aiding and abetting does not exist in Brazilian jurisprudence. Therefore, regardless of whether New York or Brazilian law applies, the result is the same. The aiding and abetting claims do not state a cause of action and must be dismissed with prejudice.

II. DISCUSSION

A. The Amended Complaint

The Plaintiff, Laspro Consultores, Ltda. ("Laspro" the "Plaintiff" or the "Trustee") is a Brazilian bankruptcy court appointed trustee for Banco Cruziero Do Sul, S.A. (the "Debtor" or the "Bank"). The Trustee has filed this adversary action pursuant to Chapter 5 of the Bankruptcy Code 11 USC § 1501 et seq. and asserts the following allegations relevant for purposes of determining whether the Plaintiff's aiding and abetting claims should be dismissed.

Defendants are British Virgin Islands corporations. Complaint ¶¶ 5, 6. The Indio da Costa family acquired the Bank in 1993. Complaint ¶ 7. The primary members of the family who were involved in the management of the Bank were Luis Felippe Indio da Costa ("Felippe") and his son, Luis Octavio da Costa ("Octavio"). Complaint ¶ 8. The Complaint alleges Felippe and Octavio created false salary loans, and through this and other schemes were able to divert large sums of money for their own use and benefit. Complaint ¶¶ 10-18.

[1] Alinia had not been formed at the time funds were allegedly embezzled and used to purchase the Penthouse Apartment.

BCSUL was placed in Special Temporary Administration liquidation in June 2012. Complaint ¶ 7. In September 2012, BCSUL was placed in extra-judicial liquidation. Complaint ¶ 41. In August 2015, BCSUL was placed in full judicial bankruptcy. Complaint ¶ 44. Between then and June 2016, two trustees were appointed and later removed (for reasons not alleged in the Complaint) by the Brazilian Court. The current Trustee was appointed in January 2016. Complaint ¶¶ 47-48.

Plaintiff asserts claims against the corporate defendants for aiding and abetting their principals, Felippe and Octavio as follows: (i) Counts VI, VII, VIII, allege claims for aiding and abetting breach of fiduciary duty, conversion and fraud respectively against Alinia with regard to the Penthouse; (ii) Counts XVIII, XIX and XX alleged the same claims against CPS with regard to Apartment 6B; and (iii) Counts XXX, XXXI and XXXII allege the same claims against both Alinia and CPS with regard to the Artwork (collectively, the "Aiding and Abetting Claims").

The aiding and abetting counts against Alinia with regard to the Penthouse allege that Alinia **knowingly** induced and/or participated in Felippe's and/or Octavio's breach of fiduciary duties/conversion and fraud. Complaint ¶¶97, 105, 117. These counts also allege: "**Alinia provided substantial assistance to the perpetration of the** [breach of fiduciary duty/conversion] **through its receipt, retention and concealment of Penthouse 2."** Complaint ¶¶ 98, 106. Emphasis added.

Count X alleging aiding and abetting fraud is much the same stating: **Alinia provided substantial assistance in the advancement of the fraud through its intentional receipt, retention and concealment of the proceeds of the fraud in the form of Penthouse 2 and the Artwork."** Complaint ¶118 (Emphasis added).

The Counts against CPS with regard to Apartment 6B are practically identical, alleging "CPS provided substantial assistance to Octavio's and Felippe's (breach of fiduciary duty, conversion and fraud) through its receipt, retention and concealment of the Apt. 6B Funds but also through its use of the Apt. 6B Funds to acquire the Apt. 6B Shares the Apt. 6B Lease. Complaint ¶¶ 200, 208 and 220. The allegations supporting the claims against both Defendants concerning the Artwork are very similar to those alleging the claims with regard to the Penthouse and Apartment 6B. Complaint ¶¶ 300, 308 and 320.

B. Choice of Law Analysis

It is well settled that a federal court sitting in diversity is required to apply the substantive law of the forum state. *Erie Railroad v. Tomkins*, 304 U.S. 64, 58 S.Ct 817, 82 L.Ed. 1188 (1938). In *Lamm v. State Street Bank*, 889 F. Supp. 2d 1321, 1326 (S.D. Fla. 2012), the court held that this principle applied to issues involving choice of law, requiring the court to use the choice of law rules of the forum. However, this rule does not always apply to a bankruptcy court faced with a choice of law issue. In *Vanston Bondholders Protective Comm. v. Green*, 329 U.S. 487, 67 S.Ct 1020, 91 L.Ed 162 (1946), the Supreme Court held that a bankruptcy court "must administer and enforce the Bankruptcy Act as interpreted by this Court in accordance with authority granted by Congress to determine how and what claims should be allowed under equitable principles." 329 U.S at 163-3. In other words, a bankruptcy court must apply federal law when adjudicating federal subject matter.

This statement is clear enough when applied to matters within the core jurisdiction of a bankruptcy court such as determining the allowability of a claim. In such cases, since it is dealing with federal subject matter, a bankruptcy court must apply federal choice of law rules to determine the applicable law. In re Sterba, 516 B.R. 579 (9th Cir. BAP 2014); In re Hionas, 361 B.R. 269 (Bkr. S.D. Fla 2006).

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When the issue before a bankruptcy court is not a matter of federal question jurisdiction pursuant to 28 USC §157(b)(2), the choice of law rules of the forum state should be applied. *In re Merrit Dredging*, 839 F.2d 203, 206 (4th Cir. 1988); *In re Gaston & Snow*, 243 F.3d 599, 606 (2d Cir. 2001). Here, the Trustee's common law claims for aiding and abetting are not federal subject matter but are state common law claims. Since this Court is located in Florida, this State's choice of law rules should be applied.

For many years Florida has followed the 'Significant Relations Test' of Section 145 of the Restatement Second of Conflict of Laws in determining the law that should be applied to tort claims. *Bishop v. Florida Specialty Paint, Co.*, 389 So.2d 999, 1001 (Fla. 1980).

Section 145, Restatement (second) Conflict of Laws, the General Principle states:

(1) The rights and liabilities of the parties with respect to an issue in tort are determined by the local law of the state which, with respect to that issue, has the most significant relationship to the occurrence and the parties under the principles stated in § 6.

(2) Contacts to be taken into account in applying the principles of § 6 to determine the law applicable to an issue include: (a) the place where the injury occurred, (b) the place where the conduct causing the injury occurred, (c) the domicile, residence, nationality, place of incorporation and place of business of the parties, and (d) the place where the relationship, if any, between the parties is centered. These contacts are to be evaluated according to their relative importance with respect to the particular issue.

Section 6 of the Restatement states:

(1) A court, subject to constitutional restrictions, will follow a statutory directive of its own state on choice of law.

(2) When there is no such directive, the factors relevant to the choice of the applicable rule of law include: (a) the needs of the interstate and international systems, (b) the relevant policies of the forum, (c) the relevant policies of other interested states and the relative interests of those states in the determination of the particular issue, (d) the protection of justified expectations, (e) the basic policies underlying the particular field of law, (f) certainty, predictability and uniformity of result, and (g) ease in the determination and application of the law to be applied.

C. Application of Florida's Choice of Law Rules

(i) Section 145 of the Restatement: As stated in Section 145, he issue must be examined to actually determine the jurisdiction with the "most significant relation to the occurrence and

doing would be decided under Delaware law). The *Mukamal* Court found that fiduciary duties owed by officers and directors to their corporation "concern the internal affairs of a corporation" *Id* at 896. In addition the Court held that as a matter of Florida statutory law, the internal affairs of a corporation are governed by the law of its state of incorporation. *Id* at 897, *citing to* §607.1505(3), Fla.Stat. *See also*, Restatement (second) Conflict of Laws §§302, 306 and 309.

Here, the Aiding and Abetting Claims do not involve the internal affairs of the Defendant corporations, and therefore, the laws of their place of incorporation – the British Virgin Islands – should not be applied.[2] On the other hand, because the Debtor is a Brazilian bank and the Trustee was appointed by a Brazilian court, this factor tends to favor the law of Brazil.

The final factor, §145(2)(d), is "the place where the relationship, if any between the parties is centered." This factor is not particularly relevant since there is no relationship between the Plaintiff Trustee and the corporate Defendants. However, the Trustee also alleges in the Complaint that New York law, NY DCL §§273, 274, 275 and 276 should be applied to avoid the Defendants' title to the New York Properties transferred to the Trustee. Presumably the Trustee also relies on New York law for its counts alleging constructive trust or equitable lien. Counts I, XIII and XXV. The New York Properties are in New York, so if relevant at all, this factor together with the Trustee's preference for New York law, tends to favor New York. Therefore, on balance, the factors of §145 are divided between Brazil and New York, with perhaps a slight advantage to Brazil.

[2] Research into the law of the British Virgin Islands has not found any case law relating to the tort of aiding and abetting. However, the law of England, which is very influential on British Virgin Islands law, does not recognize the tort of aiding and abetting. In *Credit Lyonnais Bank Nederland, NV v Exports Credits Guarantee Dept.* (1999) C.L.C. 823, 856, the U.K. Supreme Court made an extensive review of many cases and other authorities and concluded: "(T)he overall effect of these cases is clear. **Acts which knowingly facilitate the commission of a crime amount to the crime of aiding and abetting but they do not amount to a tort or make the aider liable as a joint tortfeasor.** (emphasis added).

(ii) Section 6 of the Restatement: The factors of §6 have to be considered. The first factor is whether there is a statute in the forum state which controls the choice of law. Florida does not have a statute directing the choice of law for aiding and abetting claims.

The next factor, §6(2)(a), "the needs of the interstate and international systems" would not seem to be applicable.

Section 6(2)(b) requires consideration of "The relevant policies of the forum." Florida recognizes aiding and abetting as a valid cause of action. *MP, LLC v. Sterling Holding, LLC*, (Fla. 3d DCA 2016). Therefore, the policies of Florida will not be offended if the law of a forum which also recognizes the theory is chosen.

Under §6(2)(c) the Court should consider "the relevant policies of other interested states and the relative interests of those states in the determination of the particular issue." Brazil does not recognize aiding and abetting as a cause of action. *See* affidavit of Diogo Assumpcao Rezende De Almeida attached hereto as **Exhibit 1**. However, New York does recognize such a cause of action. *Monaghan v. Ford Motor Company*, 71 A.D.3d 848, 897 N.Y.S. 482 (N.Y. App 2010). Therefore, it would not offend the policy of New York to apply its law to these claims.

The next factors, §6(2)(d)(e)(f) and (g) "the protection of justified expectations; the basic policies underlying the particular field of law; certainty and predictability of result; and ease in the determination and application of the law to be applied," can all be considered together and would also favor New York. First, the conduct alleged took place in New York which recognizes the theory asserted. New York also has a body of case law on aiding and abetting claims, so there will be certainty and predictability if the law of that jurisdiction is applied. *See, eg., Monaghan*. Because Brazil does not recognize the cause of action of aiding and abetting a breach of fiduciary duty it has no law to apply, thereby creating the potential for uncertainty,

unpredictability, or lack of uniformity. In addition, given the clear New York case law on the subject (discussed below) there will be no difficulty in applying the law of New York to the claims.

In sum, while both Brazil and New York have a significant relationship to the occurrence and the parties, the balancing of the factors comes down on the side of applying New York law. New York is the place where the New York Properties were purchased, allegedly with the intent of aiding and abetting Felippe and Octavio in their tortious conduct by hiding the proceeds of their alleged embezzlement of funds from the Debtor. The property at issue is certainly located in New York and the Trustee has asserted New York avoidance claims against it.

While Brazil undoubtedly has a very significant interest in seeking damages against the Defendants for the alleged Aiding and Abetting Claims, it does not recognize the cause of action. Thus, if Brazil is deemed to be the jurisdiction with the most significant interest, then the Aiding and Abetting Claims should be dismissed with prejudice since the theory is not recognized there. See Almeida Affidavit; *Mukamal, supra.*

D. The Aiding and Abetting Counts Do Not State a Claim Under New York Law

An analysis under New York law also requires the dismissal of the Aiding and Abetting Claims. Although New York jurisprudence recognizes aiding and abetting as a viable theory of recovery, *Monaghan, supra.*, it does not sustain the Trustee's claims. The Complaint alleges that Felippe is the sole director of Alinia and its sole ultimate owner. Complaint ¶¶23-24. Likewise, with regard to CPS, the Complaint alleges that Felippe and Octavio are the sole ultimate owners of that corporation. Complaint ¶¶28-10. The Complaint alleges that the Defendant corporations aided and abetted their sole ultimate owners, Felippe and Octavio, in converting the Debtor's property, breaching their fiduciary duty to the Debtor and committing fraud against the Debtor.

Under New York law it is well-established that a corporation cannot act on its own but must act through its agents. *Oliner v. Mid-Town Promoters, Inc.* 138 N.E.2d 217 (N.Y. 1956). In *Gordon v. Elliman*, 280 A.D. 655, 658 (N.Y. App 1956) the Court stated: "There is no divergence of interest between a corporation and the entire body of its stockholders in any matter. Their interests are identical. Indeed a corporation in essence is nothing more than the corporation body of its stockholders". In *U.S. ex rel Emanuel v. Jaeger*, 117 F.2d 483 (2d Cir. 1941) the Second Circuit held that corporations are merely conduits through which individuals carry on their business.

Under the same principles a corporation cannot conspire with its owners, *Copperweld Corp. v. Independence Tube Corp.* 467 U.S. 752 (1984). This would be the equivalent of someone conspiring with himself. Consequently, a corporation cannot aid and abet its principals in committing tortious conduct. *Genger v. Genger*, 135 A.D 3d 454, 455 (N.Y. App. 2016). Aiding and abetting is an intentional tort. *Monaghan, supra.* It is just not credible to suggest that a corporation can, separately from its owner, form the intent to aid and abet the owner in tortious conduct. Instead, as has been well established for many years under New York jurisprudence, a corporation acts only because its owner causes it to act. *Oliner, supra., Gordon, supra.* Therefore, under New York law it is not legally possible for a corporation to independently intentionally aid and abet its owners in committing tortious activity. The Trustee's Aiding and Abetting Claims fail as a matter of law and should be dismissed with prejudice.

CONCLUSION

The applicable choice of law rules point to either New York or Brazil. Brazil does not recognize claims for aiding and abetting, and although New York does, given the facts alleged

here, the Trustee's claims cannot be sustained as a matter of law. Accordingly, the Aiding and Abetting Claims should be dismissed with prejudice.

CONCLUSION

The applicable choice of law rules point to either New York or Brazil. Brazil does not recognize claims for aiding and abetting, and although New York does recognize such claims, based on the facts alleged here, the Trustee's claims cannot be sustained as a matter of law. Accordingly, the Aiding and Abetting Claims should be dismissed with prejudice.

Respectfully submitted,

BAST AMRON LLP
Counsel for the Defendants
SunTrust International Center
One Southeast Third Avenue, Suite 1400
Miami, Florida 33131
Telephone: (305) 379-7904
Facsimile: (305) 379-7905
Email: bamron@bastamron.com
Email: jhart@bastamron.com

By: */s/ Jeremy J. Hart*
Brett M. Amron, Esq. (FBN 0148342)
Jeremy J. Hart, Esq. (FBN 510645)
Jeremy S. Korch, Esq. (FBN 0014471)

Respectfully submitted,
BAST AMRON LLP
Counsel for the Defendants
SunTrust International Center
One Southeast Third Avenue, Suite 1400
Miami, Florida 33131
Telephone: (305) 379-7904
Facsimile: (305) 379-7905
Email: bamron@bastamron.com
Email: jhart@bastamron.com
By: /s/ Jeremy J. Hart
Brett M. Amron, Esq. (FBN 0148342)
Jeremy J. Hart, Esq. (FBN 510645)
Jeremy S. Korch, Esq. (FBN 0014471)

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served electronically via CM/ECF, Email, and/or via U.S. Mail, as indicated on the attached service list on this 1st day of March, 2017.

By: */s/ Jeremy J. Hart*
Jeremy J. Hart

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By: /s/ Jeremy J. Hart
Jeremy J. Hart

SERVICE LIST

VIA CM/ECF:

SERVICE LIST

VIA CM/ECF:

- **Daniel M Coyle** dcoyle@astidavis.com, ngonzalez@astidavis.com
- **Jeremy J Hart** jhart@bastamron.com, mdesvergunat@bastamron.com; dtimpone@bastamron.com; jmiranda@bastamron.com
- **Arnoldo B Lacayo** alacayo@astidavis.com, ngonzalez@astidavis.com

Daniel M Coyle dcoyle@astidavis.com; ngonzalez@astidavis.com
Jeremy J Hart jhart@bastamron.com; mdesvergunat@bastamron.com; dtimpone@bastamron.com; jmiranda@bastamron.com;dtimpone@bastamron.com;jmiranda@bastamron.com
Arnoldo B Lacayo alacayo@astidavis.com; ngonzalez@astidavis.com